

Despite the underlying shift in market psychology, the Buffett Partnership continued to post outstanding results. By the end of 1966, the partnership had gained 1,156 percent (704 percent for limited partners), blitzing the Dow, which was up 123 percent over the same period. Even so, Buffett was becoming increasingly uneasy. Whereas the market had been dancing to the principles outlined by Graham, the new music being played in the stock market made little sense to Buffett.

In 1969, Buffett decided to end the investment partnership. He found the market highly speculative and worthwhile values increasingly scarce. By the late 1960s, the stock market was dominated by highly priced growth stocks. The Nifty Fifty were on the tip of every investor's tongue. Stocks like Avon, Polaroid, and Xerox were trading at fifty to one hundred times earnings. Buffett mailed a letter to his partners confessing that he was out of step with the current market environment. "On one point, however, I am clear," he said. "I will not abandon a previous approach whose logic I understand, although I find it difficult to apply, even though it may mean forgoing large and apparently easy profits, to embrace an approach which I don't fully understand, have not practiced successfully and which possibly could lead to substantial permanent loss of capital."²⁰

At the beginning of the partnership, Buffett had set a goal of outperforming the Dow by an average of 10 percentage points each year. Between 1957 and 1969, he did beat the Dow—not by 10 percentage points a year but by 22! When the partnership disbanded, investors received their portions. Some were given an education in municipal bonds and others were directed to a money manager. The only individual whom Buffett recommended was Bill Ruane, his old classmate at Columbia. Ruane agreed to manage some of the partners' money, and thus was born the Sequoia Fund. Other members of the partnership, including Buffett, took their portions in Berkshire Hathaway stock. Buffett's share of the partnership had grown to \$25 million, and that was enough to give him control of Berkshire Hathaway.

When Buffett disbanded the partnership, many thought the "money changer's" best days were behind him. In reality, he was just getting started.